



**What adverse effect might be caused
by tax incentives to increase saving?**

Tax Incentives to Increase Saving

- Financial benefits provided by the government to **encourage individuals and firms to save more** of their income.
- Typically include **reductions in taxes on income earned from savings**, such as interest, dividends, and capital gains.
- They can also include special accounts with tax benefits, such as retirement savings plans, where contributions are tax-deductible, and the earnings grow without being taxed or are taxed at a lower rate.
- The primary goal of these incentives is to **boost private saving rates**, which provides more funds for capital accumulation, thereby **increasing productivity and living standards**.

Concerns

Q: What adverse effect might be caused by tax incentives to increase saving?

1. Less egalitarian society

High-income households save a larger portion of their income compared to low-income households.

Consequently, any tax change that incentivizes saving will disproportionately benefit high-income individuals.

2. Ineffective

Research suggests that tax incentives may not significantly boost saving rates due to low interest-rate elasticity.

Additionally, the substitution(+) and income(-) effects might cancel each other out, resulting in no net increase in saving.

3. Budget deficit

Lowering taxes on capital income can increase the **government's budget deficit**, negating the benefits of higher private saving.

To increase national saving, the rise in private saving must exceed the decline in public saving; otherwise, the incentives can potentially worsen the situation.

Conclusion

- Instead of altering the tax code to encourage greater private saving, policymakers can increase public saving by **reducing the budget deficit**.
- This can be achieved through a combination of raising taxes on the wealthy, cutting unnecessary government spending, implementing a consumption tax, and other policies.

Real World Example + Summary

BBC

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EV tax credits are widespread – but extra fees are just as common

20 March 2024

By Brennan Doherty, Features correspondent

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The article discusses how various governments are simultaneously offering tax credits to encourage EV adoption while imposing additional registration fees on EVs, which introduces adverse effects.

<https://www.bbc.com/worklife/article/20240318-electric-vehicle-ev-taxes-fees>

Commentary

How it relates to the question:

The additional fees could dissuade potential EV buyers, despite the tax credits meant to promote EV purchases. This aligns with the concept that poorly designed or contradictory incentives can have unintended negative consequences.

Adverse Impact of Tax Incentive:

Similar to the regressive impacts of savings incentives, flat fees on EVs can disproportionately affect different users. For example, someone with a lighter EV who drives infrequently pays the same fee as someone with a heavier EV who drives more often.

Adverse Impact of Tax Incentive:

Furthermore, the article highlights the reliance of many jurisdictions on fuel taxes to fund public infrastructure, which EVs do not contribute to. This creates a need to find alternative revenue sources, like registration fees, but it also raises questions about how to equitably distribute these costs.

Measures

Pricing based on Externality

Adjust registration fees based on the vehicle's weight and the associated road wear, reflecting the true cost of infrastructure use.

Increase Incentive

Provide higher and more targeted tax credits for early EV adopters, offsetting the impact of additional fees and stimulating initial market growth.

Adjust Economic Policies

Adjust fees based on income levels to ensure that lower-income households are not disproportionately affected, promoting equitable access to EV benefits.



*Thank
You*